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Study Notes

THE INDUSTRIAL RELATIONS CODE, 2020 Part 1

Introduction

- The Government of India has put together a plan to combine India's 44 labor laws into four codes to make India's labor laws easier to understand and facilitate ease of doing business. These have been categorized as follows:
 1. The Code on Wages, 2019
 2. The Industrial Relations Code, 2020
 3. The Occupational Safety, Health and Working Conditions Code, 2020
 4. The Code on Social Security, 2020.
- **The Industrial Relations Code of 2020** is a comprehensive set of laws that covers a wide range of provisions related to the rights and responsibilities of employers and workers.
- The Code is intended to update and consolidate the laws governing labor unions, working conditions in industrial establishments, and the speedy resolution of labor disputes.
- The Code is **applicable** to the **organized sector** of the economy in India, which includes industries such as manufacturing, mining, electricity, and transportation. It applies to both private and public sector enterprises, as well as to any other establishments or organizations that employ a certain number of workers. The Code is **not applicable** to the **unorganized sector**
- The Code **replaces three existing laws**:
 1. **The Industrial Disputes Act, 1947**
 2. **The Trade Unions Act, 1926**
 3. **The Industrial Employment (Standing Orders) Act, 1946**

Chapters	Sections	Description
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Ch X	Sec 77 - Sec 82	Special Provision related to Lay-Off, Retrenchment and closure
Ch XI	Sec 83	Worker Re-skilling Fund
Ch XII	Sec 84	Unfair Labour Practices
Ch XIII	Sec 85- Sec 89	Offences and Penalties
Ch XIV	Sec 90- Sec 104	Miscellaneous

Preliminary (Ch I)**SECTION 1:**

- This Act is known as the **Industrial Relations Code, 2020**
- it applies to the **entire territory of India**.

SECTION 2:

In this Code, unless the context otherwise requires:

(b) Appropriate Government:

- In the case of industrial establishments under the Central Government, certain controlled industries, railways (including metro railways), mines, oil fields, major ports, air transport services, telecommunication, banking and insurance companies, or corporations/authorities established by a Central Act, central public sector undertakings, subsidiary companies, or autonomous bodies owned or controlled by the Central Government, **the Central Government**.
- In the case of other industrial establishments, including State public sector undertakings, subsidiary companies, and autonomous bodies owned or controlled by the State Government, the State Government.
- In **disputes between contractors and contract labor** in industrial establishments, the appropriate Government will be the one that controls the establishment.

(c) Arbitrator includes an umpire.**(d) Average pay** means the average wages of a worker in:

- Three complete calendar months for monthly paid workers.
- Four complete weeks for weekly paid workers.
- Twelve full working days for daily paid workers, preceding the date on which the average pay is due. If these calculations cannot be made, it is based on the wages earned during the actual working period.

(k) Controlled industry pertains to industries declared under a Central Act to be under Union control for public interest.**(l) Employee** includes anyone employed by an industrial establishment to perform various types of work, except apprentices as per the Apprentices Act, 1961. It also includes those declared as employees by the appropriate Government but excludes Armed Forces personnel.**(m) Employer** is a person employing one or more workers directly or indirectly. It also includes entities such as departments of the Central Government, State Government authorities, and local authorities in their respective cases.**(n) Executive, concerning a Trade Union**, refers to the managing body responsible for the union's affairs.**(o) Fixed term employment** refers to hiring workers based on a written contract for a fixed duration. Certain conditions apply, including providing benefits similar to permanent workers and eligibility for statutory benefits proportional to their service duration.

(p) **Industry** refers to systematic activities conducted cooperatively between employers and workers to produce, supply, or distribute goods or services. It doesn't matter if capital is invested or if profit is the motive, except for specified exceptions. **This does not include**

- ✓ institutions owned or managed by organisations wholly or substantially engaged in any charitable, social or philanthropic service; or
- ✓ any activity of the appropriate Government relating to the sovereign functions (also includes defence research, atomic energy and space)
- ✓ domestic service, or any other activity notified by Central Government

(q) **Industrial dispute** covers disputes or differences among employers, employees and workers, or workers themselves related to employment, non-employment, terms of employment, or labor conditions. It also includes individual worker disputes arising from discharge, dismissal, retrenchment, or termination.

(r) **Industrial establishment or undertaking** signifies an establishment or undertaking where any industry is conducted. Specific rules apply to determine if various activities within an establishment are separate industrial establishments.

(t) **Lay-off** indicates the employer's inability to provide work to a worker due to specific reasons, such as resource shortages, machinery breakdown, or natural calamities.

(u) **Lock-out** refers to the temporary closure or suspension of work by an employer, or the refusal to employ a group of workers.

(zb) **Office-bearer**, concerning a Trade Union, includes executive members **but not auditors**.

(zg) **Registrar** is a Trade Unions Registrar appointed by the State Government under Section 5.

(zh) **Retrenchment** is the termination of a worker's service by the employer, excluding cases of voluntary retirement, retirement at the age of superannuation, or termination due to contract expiry, termination due to completion of tenure, termination on ground of continued ill-health.

(zi) **Settlement** encompasses agreements reached during conciliation proceedings, including written agreements signed by the parties and sent to the appropriate Government and conciliation officer.

(zj) **Standing orders** pertain to orders covering matters outlined in the First Schedule.

(zk) **Strike** signifies a collective work stoppage by a group of workers in an industry, including a coordinated refusal to work. It also includes a **casual leave by at least 50%** of workers in an industry on a given day.

(zl) **Trade Union** refers to any combination formed primarily to regulate relations between workers and employers or among workers, or among employers, or to impose restrictive conditions on trade or business conduct. The provisions do not apply to

- ✓ agreement between partners as to their own business
- ✓ agreement between an employer and those employed by him as to such employment
- ✓ agreement in consideration of the sale of the goodwill of a business or of instruction in any profession, trade or handicraft

(zm) **Trade Union dispute** refers to disputes between two or more Trade Unions or among members of a Trade Union.

(zo) **Unfair labour practice** includes practices listed in the Second Schedule.

(zp) **Unorganised sector** holds the same meaning as in the **Unorganised Workers' Social Security Act, 2008**.

Read the definition of wages and worker from Code on Wages.

Bi-Partite Forums (Ch II)

SECTION 3: Works Committee

- Required for establishments with **100 or 100+ workers**, in preceding 12 months
- Appropriate government may require employer to constitute a Works Committee
- It comprises both employer and worker representatives, chosen from the workforce.
- The aim is to promote harmony and resolve common issues.

SECTION 4: Grievance Redressal Committee

- Mandatory for establishments with **20 or 20+ workers**
- this committee has **equal employer and worker representation** (total up to ten members) with a rotating chairperson (on yearly basis).
- It ensures adequate female representation and resolves individual grievances **within 30 days**, with appeal options (within 60 days or as specified) through conciliation officers.
- Application for grievance redressal may be filed by aggrieved worker **within 1 year** of cause of action of such dispute
- Any worker may apply directly to Tribunal for adjudication of the dispute after expiry of **45 days from the date** he has made the application to the conciliation officer of the appropriate Government for conciliation of the dispute. This application can be made before the expiry of two years from the date of discharge, dismissal, retrenchment or otherwise termination of service

Industrial Disputes (Section 9, 10, and 11):

- **Disputes** arising from **termination** are considered industrial disputes.
- Workers can seek conciliation **within 60 days**
- Any worker may apply directly to Tribunal for adjudication of the dispute after expiry of **45 days from the date** he has made the application to the conciliation officer of the appropriate Government for conciliation of the dispute. This application can be made before the expiry of two years from the date of discharge, dismissal, retrenchment or otherwise termination of service

Trade Unions (Ch III)

SECTION 5: Registrar of Trade Unions

- **Appointment of Trade Union Officials:** The Code outlines the establishment of officials responsible for regulating Trade Unions in India.

- **State Government's Authority:** The State Government holds the authority to appoint a Registrar of Trade Unions and other officials who have specific powers and duties related to Trade Unions.
- **Designated Responsibilities:** These appointed officials are tasked with specific responsibilities related to Trade Unions' regulation.
- **Geographical Jurisdiction:** When one of these officials operates in the geographical area where a Trade Union's registered office is located, they are designated as the Registrar for that particular Union. This Registrar handles regulatory matters pertaining to that Union as per the Code's provisions.

SECTION 6: Trade Union Registration Criteria

- To register in India, a Trade Union needs at least **seven applying members** who adhere to the Union's rules.
- If representing workers, they must have a **minimum membership of either ten percent of the total workers or one hundred workers, whichever is lower.**
- The application remains valid if some applicants disassociate, but registered Trade Unions must maintain at least ten percent membership, with a minimum of seven, from the relevant industrial establishment or industry.

SECTION 7: Provisions to be contained in constitution or rules of Trade Union

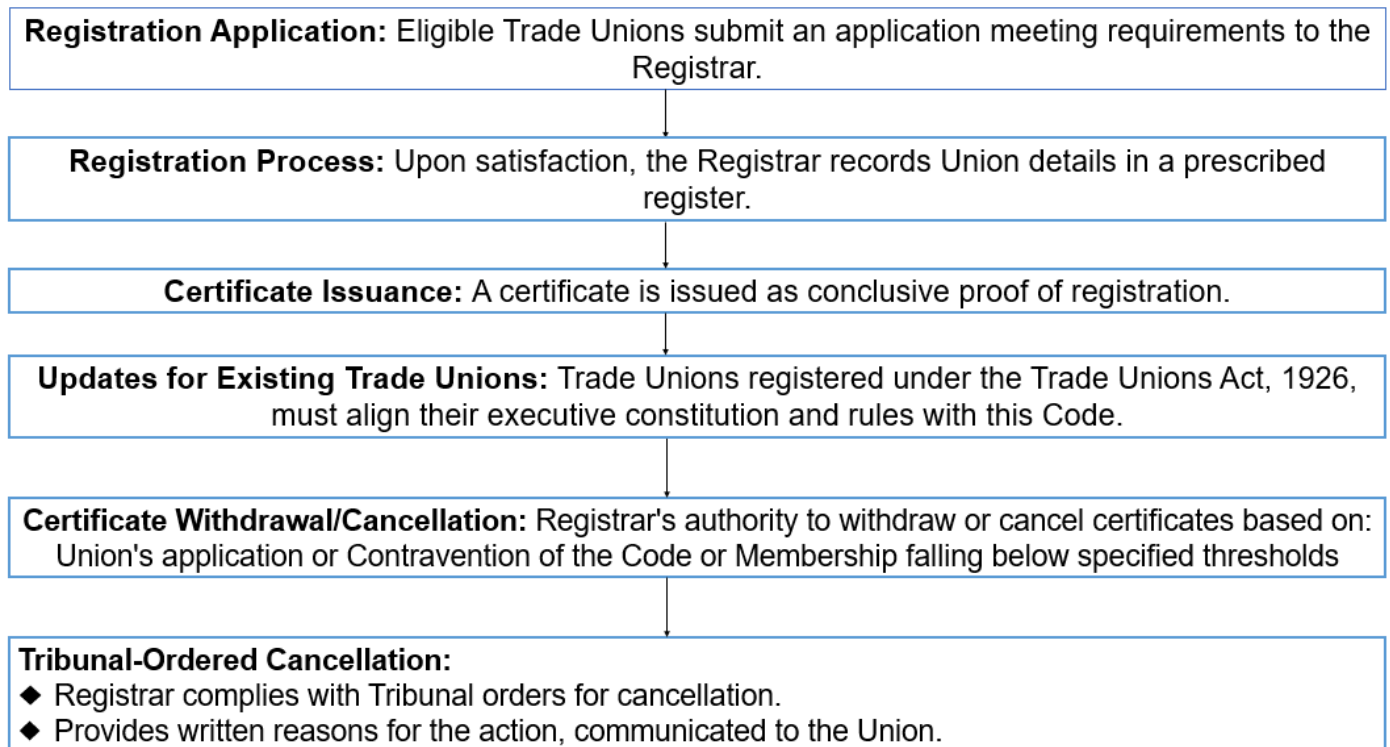
- To qualify for registration under this Code, a Trade Union must meet **specific criteria**. It must have an **executive committee structured according to the Code's provisions and adhere to rules covering various aspects**. These include defining the *Union's name and objectives, specifying lawful purposes for fund utilization, maintaining a member list with accessible inspection, outlining criteria for ordinary and honorary members, establishing subscription payment rules, setting conditions for member benefits and penalties, planning annual general meetings, and detailing election procedures for executives and office-bearers.*
- The rules should also address fund management, annual audits, rules amendments, and dissolution procedures.

SECTION 8: Trade Union Registration Process

- **Application for Trade Union Registration:** To register a Trade Union, applicants are required to submit an application to the Registrar. This application can be submitted electronically or through other designated means.
- **Mandatory Application Components:** The application should include the following components:
 - ◆ A declaration in affidavit form.
 - ◆ Copies of the Union's rules.
 - ◆ A resolution from the Union's members endorsing these rules.
 - ◆ An authorization resolution from members allowing the application.

- **Additional Requirement for Established Unions:** If the Union has been in existence for more than a year, it must provide a statement detailing its assets and liabilities as part of the registration process.
- **Registrar's Discretion:** The Registrar has the authority to request additional information beyond the specified requirements as needed during the registration process.
- **Name Verification:** If the proposed name of the Union is similar to an existing one, the Registrar may require a name alteration before granting registration. This measure is in place to ensure compliance with the Code's provisions and to prevent confusion with existing entities.

SECTION 9: Trade Union Registration and Cancellation



SECTION 10: Appeals against Non- Registration and Cancellation of Registration

- **Right to Appeal:** Any person dissatisfied with the Registrar's decision to refuse registration of a Trade Union or cancel its certificate can file an appeal.
- **Tribunal's Authority:**
 - ◆ After a hearing, the Tribunal can take one of two actions:
 - Dismiss the appeal
 - Order the Registrar to either register the Trade Union or reinstate its certificate of registration, as applicable
- **Communication of Decision:** The Tribunal's decision is communicated to the Registrar.

SECTION 11: Communication and Reporting for Registered Trade Unions

- **Official Communication Address:** Registered Trade Unions must receive official communications at their head office address as recorded in the Registrar's register.
- **Membership Threshold Reporting:** Trade Unions must promptly inform the Registrar if their membership falls below specified thresholds.
- **Reporting Changes:** Trade Unions are required to report any changes in their registration application details, constitution, or rules in the prescribed manner.

SECTION 12: Corporate Status of Registered Trade Unions

Registered Trade Unions are recognized as legal entities under their registered name. They possess perpetual succession, a common seal, and the ability to own property, make contracts, and engage in legal actions.

SECTION 13: Exclusion of Other Acts for Registered Trade Unions

- **Exemption from Various Acts:** Registered Trade Unions are exempt from the provisions of several Acts, including:
 - Societies Registration Act, 1860
 - Co-operative Societies Act, 1912
 - Multi-State Co-operative Societies Act, 2002
 - Companies Act, 2013
 - Any analogous laws related to co-operative societies in different states
- **Void Registration:**
 - ◆ Registration of a Trade Union under these Acts is considered void for such organizations, as they are exempt from their provisions.

SECTION 14: Recognition of Negotiating Unions and Negotiating Council

- **Negotiating Union or Council Requirement:** Industrial establishments with registered Trade Unions must have a negotiating union or council for discussions with the employer on specified matters.
- **Sole Negotiating Union:** If only one Trade Union exists in the establishment, it is recognized as the sole negotiating union.
- **Majority Support for Recognized Negotiating Union:** In cases with multiple Trade Unions, the one with over **fifty-one percent worker** support becomes the recognized negotiating union.
- **Negotiating Council Formation:** When no Union reaches a majority, the employer forms a negotiating council. This council comprises representatives from Trade Unions with at least **twenty percent worker support each**.
- **Approval of Negotiated Agreements:** Negotiated agreements require the approval of the majority of Union representatives in the council.
- **Recognition Period:** Recognition of the negotiating union and establishment of the council are valid for **three years**, with the possibility of extension up to five years through mutual agreement.

SECTION 15: Objects of general fund, composition of separate fund and membership fee of Trade Union.

- **Prescribed Objectives for General Funds:** Registered Trade Unions must allocate their general funds only to objectives that are prescribed or specified by relevant regulations or laws.
- **Separate Fund for Civic and Political Interests:** Trade Unions have the option to establish a separate fund to support members' civic and political interests.
- **Voluntary Financing for Civic and Political Fund:** Financing for the civic and political fund is voluntary, and no member can be compelled to contribute to this fund.

SECTION 16: Legal Immunity for Trade Unions and Members from Civil Suits

- **Protection from Civil Court Actions:** Registered Trade Unions, their office-bearers, and members are shielded from civil court actions for acts related to industrial disputes involving Trade Union members.
- **Acts Covered by Protection:** This protection covers acts even if they induce contract breaches or interfere with the trade or employment rights of others.
- **Agent Protection with Conditions:** Agents' actions in the same context are also protected, but certain conditions must be met:
 - Agents must act without the knowledge of the Trade Union's executive, or
 - Agents must act against the explicit instructions of the Trade Union's executive.

SECTION 17: Legal Protection – from Criminal Conspiracy in furtherance of objects of Trade Unions

Members and leaders of registered Trade Unions are protected from **criminal charges** for agreements related to Trade Union goals, unless those agreements involve criminal activities.

SECTION 18: Enforceability of Agreements

Agreements among Trade Union members aren't automatically void due to trade restrictions. However, civil courts can't enforce such agreements related to business and employment conditions.

SECTION 19: Right to inspect books of Trade Unions

Trade Union records, including account books and member lists, can be inspected by office-bearers and members, following Trade Union rules.

SECTION 20: Rights of minor to membership of Trade Unions

Individuals aged 14 or older in non-hazardous industries can be Trade Union members. They enjoy full rights and can execute necessary documents as per Trade Union rules

SECTION 21: Disqualification Criteria for Trade Union Office-Bearers

- **Age Limitation:** Individuals under the age of eighteen are disqualified from being a member of the executive or any other office-bearer of a registered Trade Union.
- **Conviction Involving Moral Turpitude:** Individuals with a conviction involving moral turpitude within the last five years are also disqualified from holding such positions.

- **Tribunal Disqualification:** If an individual has been disqualified by a Tribunal for a specified period, they are ineligible for executive or office-bearer roles within a Trade Union.
- **Ineligibility of Council of Ministers Members:** Members of the Council of Ministers or individuals **holding profit-making positions** unrelated to the Trade Union's associated establishment or industry in the Union or a State are not eligible for Trade Union office.

SECTION 22: Resolution of Trade Union Disputes

- **Dispute Resolution Jurisdiction:** Disputes, including those between Trade Unions, their members, or issues related to registration, administration, and elections, must be brought before the Tribunal that has jurisdiction over the location of the Trade Union's registered office.
- **Exclusion of Civil Courts:** Civil courts, other than the designated Tribunal, are not permitted to entertain suits or proceedings for these disputes.

SECTION 23: Composition of Trade Union Office-Bearers

- **Composition Requirement:** Office-bearers in registered Trade Unions must predominantly consist of individuals who are actively engaged or employed in the relevant establishment or industry.
- **Unorganized Sector:** In the unorganized sector, at least half of the office-bearers must meet this criterion.
- **Government Exceptions:** Exceptions to this requirement can be made by the appropriate Government.
- **Status of Retired or Retrenched Employees:** Retired or retrenched employees are not considered outsiders when holding office in a Trade Union. They can be part of the office-bearer composition without being considered outsiders.

This provision ensures that office-bearers in Trade Unions have a significant connection to the relevant establishment or industry, with flexibility provided for the unorganized sector and exceptions made by the appropriate Government. Retired or retrenched employees are also allowed to participate in leadership roles.

SECTION 24: Change of Name and Amalgamation of Trade Unions

- **Name Change with Member Consent:** Registered Trade Unions have the ability to change their names, but this requires the consent of the members.
- **Amalgamation Procedure:** Trade Unions can amalgamate with other Trade Unions following prescribed procedures.
- **Notification to Registrar:** Notifications of such changes, whether it's a name change or amalgamation, must be sent to the Registrar.
- **Registrar's Authority to Refuse Name Changes:** The Registrar has the authority to refuse name changes if they resemble existing Trade Union names.
- **Effective Upon Registration:** Once approved, these changes take effect upon registration without affecting the rights or obligations of the Trade Union.

- **Protection of Rights and Creditors in Amalgamation:** Amalgamation does not harm the rights of Trade Unions or their creditors. This ensures that the rights and financial interests of the Trade Unions and their creditors are protected during the amalgamation process.

SECTION 25: Dissolution of Registered Trade Unions

- **Notice of Dissolution:** Seven members of the Trade Union, along with the secretary, must sign a notice of dissolution
- **Submission to Registrar:** The notice of dissolution must be submitted to the Registrar within fourteen days of the decision to dissolve the Trade Union.
- **Registrar's Review:** The Registrar reviews the notice to ensure it complies with the Trade Union's rules.
- **Registration of Dissolution:** If the notice of dissolution complies with the Trade Union's rules, the Registrar registers the dissolution.
- **Effective Date:** The dissolution takes effect from the date of registration by the Registrar.
- **Fund Distribution:**
 - ✓ If the Trade Union's rules do not specify the distribution of funds upon dissolution, the Registrar will divide the funds among members according to prescribed guidelines or regulations.
 - ✓ This process ensures that the dissolution of a registered Trade Union is carried out in compliance with rules and regulations, with clear steps for notifying the Registrar and distributing funds if necessary.
 - ✓ Regenerate

SECTION 26: Annual Reporting Requirements

- **Annual Reporting:** Registered Trade Unions are required to annually provide the Registrar with a statement containing information about their receipts, expenditures, assets, and liabilities for the preceding year.
- **Office-Bearer Changes and Rule Updates:** Trade Unions must also submit a report of any changes in office-bearers and updated rules to the Registrar.
- **Prompt Reporting of Rule Alterations:** Any alterations made to the rules of the Trade Union should be promptly reported to the Registrar.
- **Inspection and Review:** The Registrar or authorized officers have the authority to inspect and review these documents at the Trade Union's registered office or other designated locations, provided they are within a fifteen-kilometer radius of the registered office.

These reporting and inspection requirements are in place to ensure transparency and compliance with regulations by registered Trade Unions.

SECTION 27: Recognition of Central and State Trade Unions

- **Central Trade Union Recognition:** The Central Government has the authority to recognize a Trade Union or federation of Trade Unions as a Central Trade Union at the national level.

- **State Trade Union Recognition:** Similarly, the State Government can recognize a Trade Union or federation of Trade Unions as a State Trade Union at the state level.
- **Recognition Process Determined by Governments:** The specific process and resolution of disputes related to the recognition of Central and State Trade Unions are determined by the respective governments, following their prescribed rules and procedures.

Standing Offer (Ch IV)

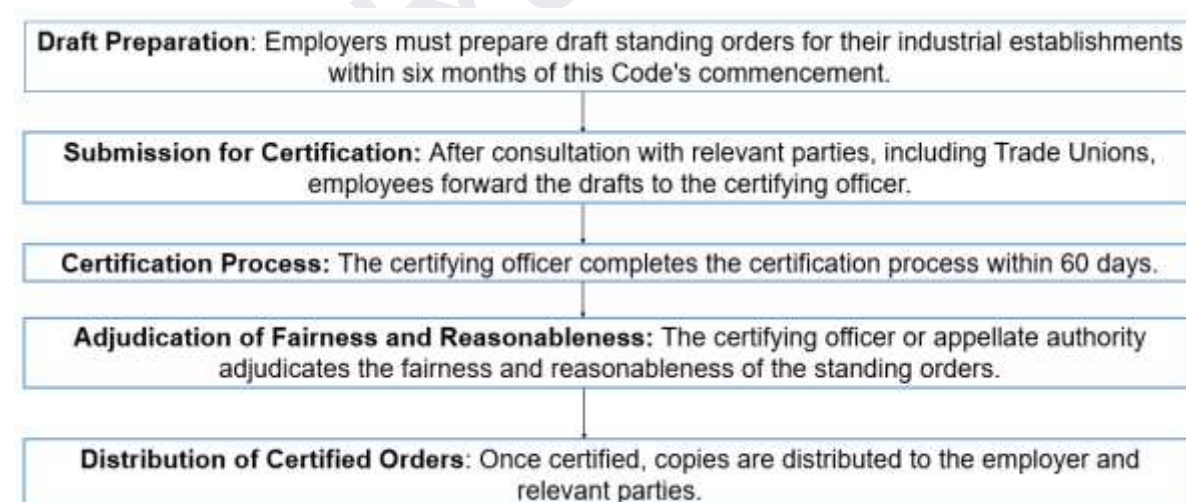
SECTION 28: Applicability of Chapter

The provisions of this chapter apply to industrial establishments employing **three hundred or more workers**. However, certain exemptions exist for industrial establishments where workers are governed by specific government rules and regulations related to their employment and service conditions.

SECTION 29: Making of Model Standing Orders by Central Government and temporary application

- **Model Standing Orders Creation:** The Central Government is responsible for creating model standing orders related to conditions of service and related matters.
- **Deemed Adoption During Certification Process:** While these model standing orders are in the process of certification, they are deemed to be adopted in the industrial establishment.

SECTION 30: Preparation of draft standing orders by employer and procedure for certification



SECTION 31: Powers of Certifying Officers and Appellate Authority

- **Powers of Civil Court:** Certifying officers and appellate authorities possess the powers of a civil court. These powers include:
 - Receiving evidence

- Administering oaths
 - Compelling witness attendance
 - Demanding document discovery and production
- **Status as Civil Courts:** They are considered civil courts under the Code of Criminal Procedure, 1973.
- **Correction of Errors or Omissions:** Certifying officers and appellate authorities have the authority to correct clerical or arithmetical errors or accidental omissions in their orders at any time.

These provisions empower certifying officers and appellate authorities with the necessary legal powers to perform their duties effectively and fairly in matters related to labor and industrial relations.

SECTION 32: Appeal Against Certifying Officer's Order

- **Eligible Appellants:** An employer, Trade Union, negotiating union, negotiating council, or a representative body of workers can file an appeal if they are dissatisfied with the certifying officer's order, **within sixty days** from the date of receiving the certifying officer's order.
- **Appellate Authority Appointment:** An appellate authority is appointed by the appropriate Government through a notification.

SECTION 33: Effective Date of Standing Orders

- **Effective Date without Appeal:**
- ◆ Standing orders or modified standing orders become operational unless an appeal is filed under Section 32.
 - ◆ If no appeal is filed, they become effective 30 days from the date authenticated copies are sent under Section 30(8).
- **Effective Date with Appeal:**
- ◆ If an appeal is filed, standing orders become operational seven days from the date on which copies of the appellate authority's order are sent, as prescribed.

SECTION 34: Filing and Access to Certified Standing Orders

After certification, a copy of all standing orders shall be filed by the certifying officer in a register, which may be maintained electronically or in another prescribed form. The certifying officer must provide a copy to any person who requests it, upon payment of the prescribed fee.

SECTION 35: Modification of Standing Orders

- **Timing of Modification:** Modification can only take place **after six months** from the date the standing orders or their last modifications became effective.
- **Application for Modification:** An application for modification, accompanied by the proposed changes and relevant agreements, can be made to the certifying officer.
- **Modification Process:** The process for modification is governed by the provisions of this Code, similar to the initial certification of standing orders.

Standing orders certified under section 30 cannot be modified except through an agreement between the employer and workers, a negotiating union, or a Trade Union.

SECTION 36: Exclusion of Oral Evidence

In any court proceeding, oral evidence that seeks to add to, vary, or contradict the standing orders that have been finally certified under this chapter shall not be admissible.

SECTION 37: Interpretation of Standing Orders

If any questions arise regarding the application or interpretation of the standing orders certified under section 30(8) or any modifications made through an agreement, the concerned employer, worker(s), or the relevant Trade Union can apply to the local Tribunal which will provide an opportunity for all parties to present their case. Its decision on the matter will be final and binding on all parties involved.

SECTION 38: Time-limit for completing disciplinary proceedings and liability to pay subsistence allowance.

- **Suspension Duration and Inquiry** : The employer must aim to complete the process **within 90 days** from the date of suspension of the worker.
- **Subsistence Allowance**: Standing orders should outline this provision and require the employer to pay a subsistence allowance during suspension.
- **Initial 90 Days**: For the initial 90 days of suspension, the allowance is 50% of the worker's prior wages.
- **Beyond 90 Days (if not worker's fault)** : For the rest of the suspension period (if not caused by the worker's conduct), it is 75% of the prior wages.